The asset allocation information that blankets the public domain is a good start in explaining the strategy; however, it is only a start. As a serious investor, you’ll want to know much more to design a truly effective portfolio that meets your unique needs.

REBALANCING EXPLAINED

In the long run, all the investments selected for a well-diversified portfolio are expected to generate a certain rate of return given their inherent level of risk. We do not know what that rate of return will be, but we should expect investments with higher risk to generate returns greater than those with lower risk. If you did not expect a higher return from the higher-risk investment, then a logical person would not make that investment and the price would fall (see Chapter 11 for more about expected risks and returns of various asset classes).

The problem with long-term investing is the short term. Nothing destroys a good long-term plan like extreme short-term volatility. That throws people off track, and they often do things that are emotional rather than rational.

The short-term performance of financial markets cannot be known in advance. They are not predictable, and at times they have much higher volatility than anyone expects. However, this does not mean that an asset class should be abandoned when it misbehaves. In fact, more of the asset class should be purchased.

You could build a perfect portfolio if you knew in advance which asset classes would perform well and which ones would perform poorly. Regrettably, those investors with enough experience in the markets know that it is not possible to predict when each investment will move up or down, or by how much. It is not prudent to attempt to switch and swap asset classes based on short-term market predictions. While this might work on occasion, do not confuse luck with skill. You will eventually make a big mistake that will cost you more than you ever gained. Instead, maintain a position in all investments all the time, and adjust the amount you have in each asset class as needed.

One practice that separates asset allocation from simple portfolio diversification is the *rebalancing* that occurs in asset allocation strategies on a regular basis. Rebalancing is the means by which you get the portfolio